

at the time) had vaguely suggested a five-wave decline from 1966 to 1982. However, the April 1983 issue pointed out shortly thereafter (see Appendix D in *Elliott Wave Principle*) that the newly available monthly range plot showed substantial overlap among waves, so the 1966-1982 decline had to be a variation of a three-wave pattern. Because wave A took that shape, it had to be the first wave of a *flat* correction. This was a crucial observation because “B” waves of flats always climb all the way back to the previous high and typically attain new highs by a slight margin. Figure 3-2 is reprinted from that issue. The lower graph shows the projection calling for wave B in the inflation-adjusted Dow to *exceed the 1966 peak moderately* while the actual Dow, as discussed in Chapter 2, was to soar in wave V.

The December 31, 1986 issue kept that conclusion right on track: “These charts are [still] entirely compatible and carry the same message.... Another doubling of the nominal DJIA will bring [the inflation-adjusted Dow] into the area of its 1966 high.” *The Elliott Wave Theorist* added that “this compatibility suggests very little inflation during the next few years.” There has certainly been “very little inflation” since then, a fact that was *required* to bring the two measures to their respective targets. It has taken a lot longer than originally expected, but as you can see in the updated Figure 3-3, the inflation-adjusted Dow is now above its 1966 high by exactly the amount that *The Elliott Wave Theorist* projected a dozen years ago.

ANALYSIS

The original upside target has been satisfied, as wave B has now carried slightly beyond the level of the peak of wave (V). The U.S. economy is therefore completing the topping process that it started in 1966, which in turn is capping a prolonged period of growth that began when the country was formed.

Enough time has passed to confirm that the duration of the ongoing pattern reflects a correction of Grand Supercycle degree. For comparison, there are two bear markets of one degree smaller (Supercycle) over the past three hundred years. The first was wave (II), which lasted 24 years from 1835 to 1859, and the second was wave (IV), which lasted 19-20 years from 1929 to 1948/9. The current bear market has been in progress for 29 years and is not yet over, a fact that strongly supports the analysis that it is of one larger degree than the other two.